
Introduction to Economics

Class 4 — Positive and normative economics; Block 1 wrap-up

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Quiz 2

15 minutes · pens down at 10:15

Questions on both sides of the sheet.

Circle the letter of your answer in the block at the top. A question marked + can have more than one correct letter: circle all of them.

Changed your mind? Blacken the wrong circle completely.

Write your name on the block, tear the strip off along the dashed line, hand in *only the strip*.

Plan for today

10:00	Quiz 2
10:15	Warm-up: Monday's question
10:19	A rent cap in Catalonia
10:25	Positive and normative
10:39	The advisor's job
10:50	Break — find your project group
11:00	The project; your groups
11:07	Why economists disagree
11:27	Block 1 in one picture
11:42	Before Monday

Warm-up — Monday's question

Monday ended with two sentences. Which of them could data show to be wrong?

A) "Spain exports olive oil."

B) "Spain should export more olive oil."

C) Both

D) Neither

Warm-up — Monday's question

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B) “Spain should export more olive oil.”

C) Both

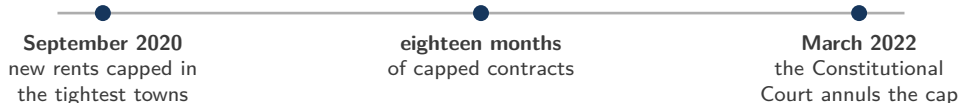
D) Neither

The first is checked against customs data — and it holds. “Should export more” needs a “for whom, at what cost”: no data settles it.

Explaining and advising

Two jobs an economist is asked to do

September 2020: Catalonia capped rents. What happened next?



Did rents fall?
Were fewer flats let?
Should the cap have stayed?

Catalonia's Llei 11/2020, in force from September 2020; annulled by the Constitutional Court in March 2022.

Rents fell about 5 %. On the flats, two teams disagree

	rents	flats let
Study 1 Jofre-Monseny et al.	−4 to −6 %	no fall found
Study 2 Monràs & Montalvo	about −5 %	about −10 %: those above the cap left

Same law, same years. One answer agreed, one not — back to it after the break.

Jofre-Monseny et al. (2023, *Reg. Sci. Urban Econ.*) · Monràs & Montalvo (2023, FRBSF WP 2023-28).

Explain, then advise: two kinds of sentence

Positive

the scientist: how things are

- Describes or predicts
- Evidence can confirm or refute it
- Can be false

Normative

the advisor: how things should be

- Recommends
- Rests on values
- No evidence settles it

“Rents fell 5 %”: **positive**. “The cap should have stayed”: **normative**.

A positive statement can be false

“Spain has the lowest unemployment in the EU.”

Positive: a claim about the world, and checkable.

And false: in 2025 Spain's rate was the *highest* in the EU (10.5 %).

Testable is not the same as true.

Eurostat, annual unemployment rates 2025: Spain 10.5 %, the highest of the 27 member states.

In pairs: positive or normative?

- A Barcelona's metro should be free for students.
- B A rent cap cuts the number of flats for rent.
- C Spain's minimum wage is too low.
- D A 1,500-euro minimum wage would cost 100,000 jobs.
- E It is unfair that rents rise faster than wages.
- F Most economists think tariffs raise prices.

Three minutes. One verdict per pair on each claim — and the word that decided it.

In pairs: positive or normative?

- | | | |
|---|--|--------------------------------|
| A | Barcelona's metro should be free for students. | normative: "should" |
| B | A rent cap cuts the number of flats for rent. | positive — and disputed |
| C | Spain's minimum wage is too low. | normative: "too low" |
| D | A 1,500-euro minimum wage would cost 100,000 jobs. | positive: a forecast |
| E | It is unfair that rents rise faster than wages. | normative: "unfair" |
| F | Most economists think tariffs raise prices. | positive: ask a survey |

Three minutes. One verdict per pair on each claim — and the word that decided it.

**“Barcelona should ban tourist flats,
because they push up rents.”**

One sentence, two claims

“Barcelona **should ban** tourist flats,
because they **push up rents**.”

should ban — normative: argue it **push up rents** — positive: test it

Test the second; argue the first. The first does not follow from the second alone: it also needs a value.

The advisor's job: take the question apart

“Should Barcelona cap rents?” Write the questions evidence could settle — and the one it cannot.

Four minutes, in pairs. Then we compare.

The advisor's job: take the question apart

“Should Barcelona cap rents?” Write the questions evidence could settle — and the one it cannot.

Do rents fall, and by how much? **evidence**

Are fewer flats let? **evidence**

Who gains, who loses? **evidence**

Is a cheaper flat for some worth fewer flats for others? **values**

The advisor answers the first three, then says which values the fourth needs.

Break

Back at 11:00

Find your project group of 2–3. Sit together afterwards.

The project: economics around you

Something you can see for yourself + one idea from the course

good

“Why does the menú del día cost more near Passeig de Gràcia than in Sants?”

too big

“Inflation in Spain”

question

25 %

economics

25 %

evidence

25 %

poster

25 %

20 % of the grade · groups of 2–3 · one A2 poster, one presenter

Project groups: today

- Groups of 2–3, formed now; names to me
- Monday 5 October: sign up in class for a 6-minute slot
- The day before your slot: your idea in one paragraph, by e-mail
- Idea meetings: Thursday 8 October, 12:00–13:00
- Topic fixed 15 October · poster session 5 November
- Full brief on the course page



course page

Why economists disagree

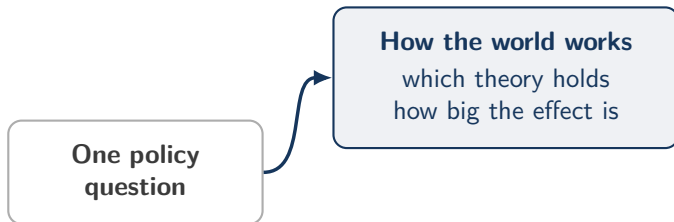
Judgement, values — and what the public thinks

Two reasons to disagree

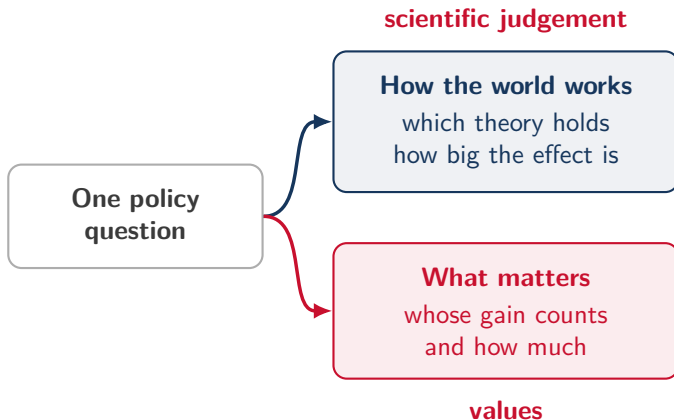
**One policy
question**

Two reasons to disagree

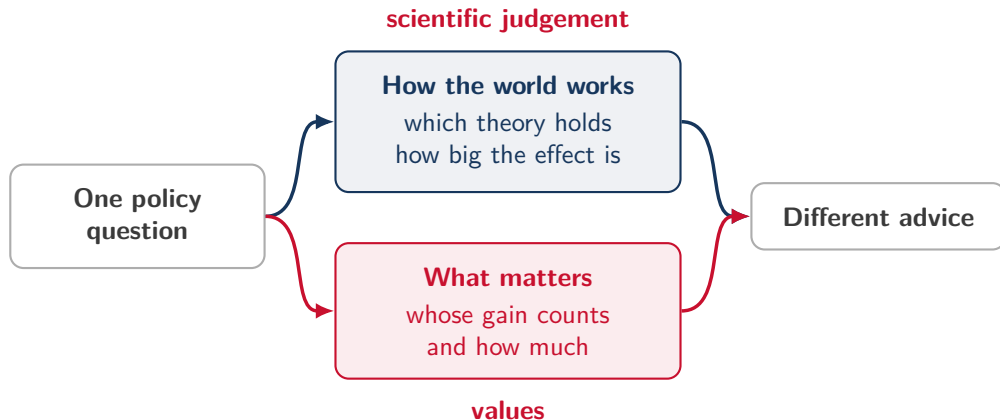
scientific judgement



Two reasons to disagree



Two reasons to disagree



Evidence can settle the first, in time. Nothing settles the second.

Judgement: two careful teams, one open question

- Covid hit at the same time: how to separate the two?
- Which towns to compare with
- Which flats: all, or only those above the cap?
- Each team chooses — and the number moves

A dispute about facts. More evidence can end it.

Values: agreed numbers, opposite advice

Suppose the numbers were settled: rents -5% , a tenth of the flats gone.

Keep the cap

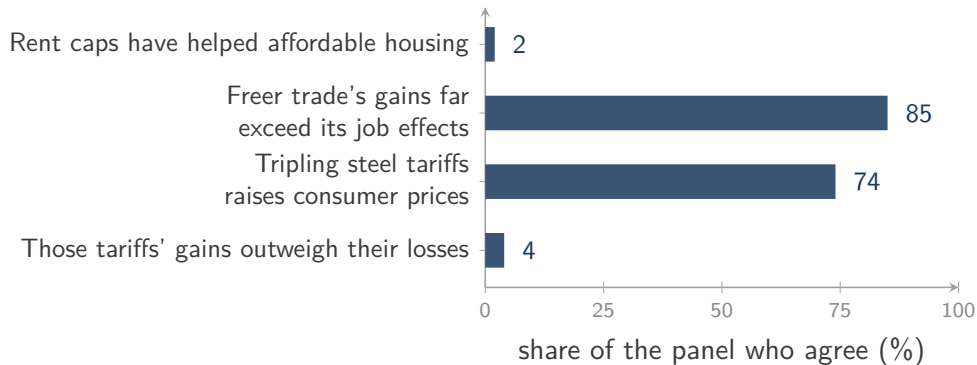
tenants with a flat pay less

Drop the cap

those still looking find fewer flats

Same numbers. Different weight on the tenant who has a flat and the one who needs one.

On many positive claims, economists nearly all agree



On 19 other panel questions, the public was 35 points away on average.

Clark Center US experts panel, 2012 ($n = 41$) and Apr 2024 ($n = 46$) · Sapienza & Zingales, *AER* 2013.

In pairs: judgement or values?

- 1 “A 5-euro tourist tax cuts visitors by 2 %.” — “No, by 10 %.”
- 2 “Fewer tourists are worth the lost jobs.” — “No, they are not.”
- 3 “Capped landlords will sell up.” — “No: where else would the money go?”

Two minutes. Which disputes could a study end?

In pairs: judgement or values?

- 1 “A 5-euro tourist tax cuts visitors by 2 %.” — “No, by 10 %.”
judgement: the size
- 2 “Fewer tourists are worth the lost jobs.” — “No, they are not.”
values, not facts
- 3 “Capped landlords will sell up.” — “No: where else would the money go?”
judgement: the theory

Two minutes. Which disputes could a study end?

Block 1 in one picture

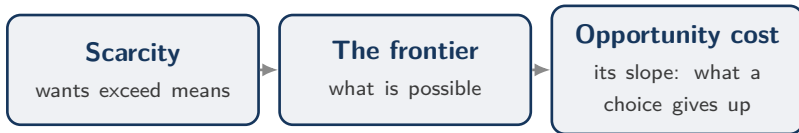
Classes 1 to 4, and where Block 2 starts

What is possible, what it costs, and what we may say about it

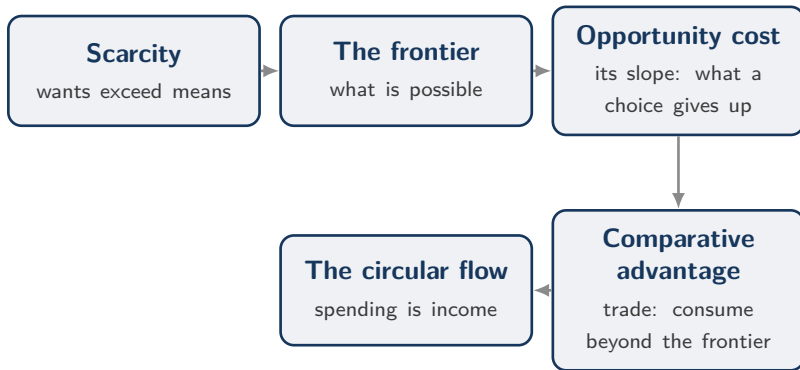
Scarcity

wants exceed means

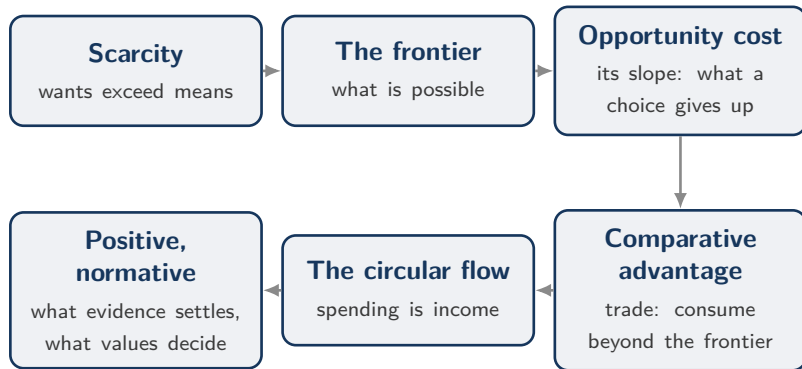
What is possible, what it costs, and what we may say about it



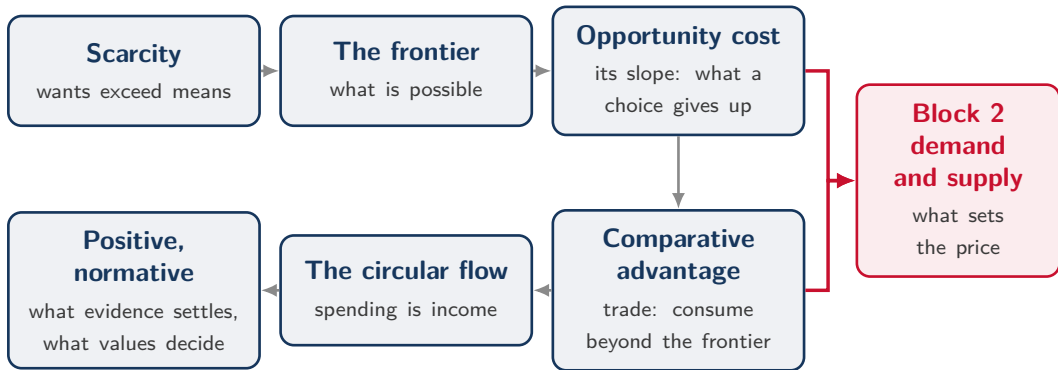
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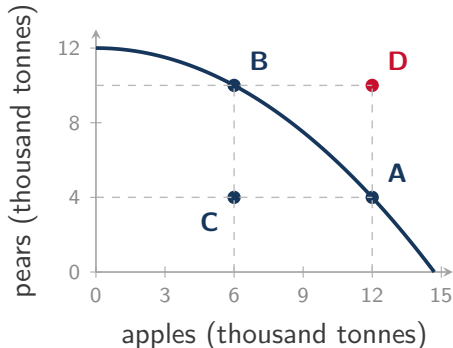


What is possible, what it costs, and what we may say about it



Classes 1–4: what is possible and what it costs. Monday: what sets the price.

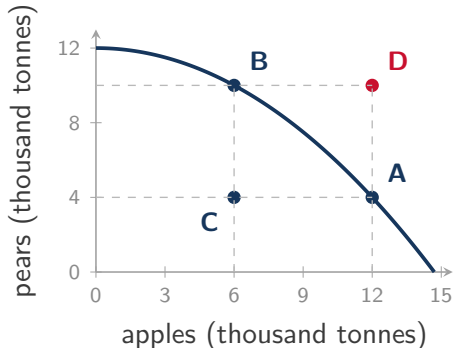
In pairs: one island, one frontier, five claims



- 1 D cannot be produced this year.
- 2 The island should produce at B, not A.
- 3 At C, the island could grow more of both.
- 4 A to B costs 3,000 tonnes of apples.
- 5 With trade, it can consume beyond the frontier.

Four minutes. Positive or normative? If positive: does the graph make it true or false?

In pairs: one island, one frontier, five claims



- 1 D cannot be produced this year.
positive, true
- 2 The island should produce at B, not A.
normative
- 3 At C, the island could grow more of both.
positive, true
- 4 A to B costs 3,000 tonnes of apples.
positive, false: it costs 6,000
- 5 With trade, it can consume beyond the frontier.
positive, true

Four minutes. Positive or normative? If positive: does the graph make it true or false?

Before Monday 5 October

- Read Mankiw & Taylor, Ch. 3, pp. 33–44 — the competitive market, demand, shifts versus movements, supply
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: the sign-up sheet goes round on Monday; the full brief is on the course page
- Monday 5 October — Block 2 begins: demand and supply



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